DEPARTURES FROM GAAP

Learning Outcome

- describe a spectrum for assessing financial reporting quality

The next levels down on the spectrum shown in Exhibit 2 mark departures from GAAP. Financial reporting that departs from GAAP generally can be considered to be low quality. In such situations, earnings quality is likely difficult or impossible to assess because comparisons with earlier periods and/or other entities cannot be made. An example of improper accounting was Enron (accounting issues revealed in 2001), whose inappropriate use of off-balance-sheet structures and other complex transactions resulted in vastly understated indebtedness as well as overstated profits and operating cash flow. Another notorious example of improper accounting was WorldCom (accounting issues discovered in 2002), a company that by improperly capitalizing certain expenditures dramatically understated its expenses and thus overstated its profits. New Century Financial (who accounting issues were revealed in 2007) issued billions of dollars of subprime mortgages and improperly reserved only minimal amounts for loan repurchase losses. Each of these companies subsequently filed for bankruptcy.

In the 1980s, Polly Peck International (PPI) reported currency losses, incurred in the normal course of operations, directly through equity rather than in its profit and loss statements. In the 1990s, Sunbeam improperly reported revenues from “bill-and-hold” sales and also manipulated the timing of expenses in an effort to falsely portray outstanding performance of its then-new chief executive.

At the bottom of the quality spectrum, fabricated reports portray fictitious events, either to deceive investors by misrepresenting the company’s performance or to obscure fraudulent misappropriation of the company’s assets. Examples of fraudulent reporting are unfortunately easy to find, although they were not necessarily easy to identify at the time. In the 1970s, Equity Funding Corp. created fictitious revenues and even fictitious policyholders. In the 1980s, Crazy Eddie’s reported fictitious inventory as well as fictitious revenues supported by fake invoices. In 2004, Parmalat reported fictitious bank balances.

EXAMPLE 3

Spectrum for Assessing Quality of Financial Reports

Jake Lake, a financial analyst, has identified several items in the financial reports of several (hypothetical) companies. Describe each of these items in the context of the financial reporting quality spectrum.

1. ABC Co.’s 2018 earnings totaled USD233 million, including a USD100 million gain from selling one of its less profitable divisions. ABC’s earnings for the prior three years totaled USD120 million, USD107 million, and USD111 million. The company’s financial reports are extremely clear and detailed, and the company’s earnings announcement highlights the one-time nature of the USD100 million gain.

   Hide Solution

   Solution:

   ABC’s 2018 total earnings quality can be viewed as low because nearly half of the earnings are derived from a non-sustainable activity, namely the sale of a division. ABC’s quality of earnings in 2018 from continuing operations may

income. The description provided suggests that the company's reporting quality is high; the reports are clear and detailed, and the one-time nature of the USD100 million gain is highlighted.

2. DEF Co. discloses that, in 2018, it changed the depreciable life of its equipment from 3 years to 15 years. Equipment represents a substantial component of the company's assets. The company's disclosures indicate that the change is permissible under the accounting standards of its jurisdiction, but it provides only limited explanation of the change.

Hide Solution

Solution:

DEF's accounting choice appears to be within permissible accounting standards, but its effect is to substantially lower depreciation expense and thus to increase earnings for the year. The quality of reported earnings is questionable. Although the new level of earnings may be sustainable, similar increases in earnings for future periods might not be achievable, because increasing earnings solely by changing accounting estimates is likely not sustainable. In addition, the description provided suggests that the company's reporting quality is low because it offers only a limited explanation for the change.

3. GHI Co.'s R&D expenditures for the past five years have been approximately 3 percent of sales. In 2018, the company significantly reduced its R&D expenditures. Without the reduction in R&D expenditures, the company would have reported a loss. No explanation is disclosed.

Hide Solution

Solution:

GHI's operational choice to reduce its R&D may reflect real earnings management because the change enabled the company to avoid reporting a loss. In addition, the description provided suggests that the company's reporting quality is low because it does not offer an explanation for the change.

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